EMS Practice Paper – Memo

Du Kloof Shop · November 2025 · Total 80 marks
Answers with workings and explanations

> **How to use this memo:** first try each question yourself on the answer sheets, then check here. The workings show **how** each amount is calculated – that is where most marks are lost.

Before you start: cost price with a mark-up

Cost price = selling price × 100 ÷ (100 + mark-up %)

Du Kloof uses 60% on cost → divide the selling price by **160** and multiply by **100**.

R8 000 × 100 ÷ 160 = **R5 000** · R4 000 × 100 ÷ 160 = **R2 500** · R15 000 × 100 ÷ 160 = **R9 375**

Check: R5 000 + 60% of R5 000 (R3 000) = R8 000 ✓

The paper says "profit margin" but means **mark-up on cost price**, so use the formula above.

Question 1 – Journals [20]

Step 1: work out the balances you need

Transaction	Working	Amount
12th – F. Rossouw returns **half**	Half of R8 000 sold on the 7th = R4 000; cost = R4 000 × 100 ÷ 160	R4 000 / cost R2 500
20th – Pay Dead drifters **in full**	Opening balance R14 200 + purchase on the 1st R5 500	R19 700
26th – F. Rossouw pays **in full**	Opening balance R15 300 + sale R8 000 − return R4 000	R19 300
18th – Cash sales cost	R15 000 × 100 ÷ 160	R9 375
30th – Trout and about	Trading stock R1 100 + equipment R2 000	R3 100

> **"In full" = the whole balance owed.** Always start with the **opening balance** from the debtors' or creditors' list, then add/subtract everything that happened to that person during the month.

Step 2: the journals

Creditors Journal of Du Kloof for Nov 2025 – CJ

Doc	Day	Name of creditor	Creditors control	Trading stock	Stationery	Sundry amount	Details
32	01	Dead drifters	5 500	5 500			
Inv	30	Trout and about	3 100	1 100		2 000	Equipment

Equipment has no column of its own, so it goes in **Sundry accounts** with the account name. Creditors control = the full invoice (1 100 + 2 000). No invoice number is given for the 30th, so write "Inv" (or leave it blank).

Creditors Allowances Journal – CAJ

Doc	Day	Name of creditor	Creditors control	Trading stock	Stationery	Sundry amount	Details
DN 8	27	Flyfish gear	500	500			

Cash Payments Journal – CPJ

Doc	Day	Name of payee	Bank	Creditors control	Trading stock	Stationery	Sundry amount	Details
EFT 36	20	Dead drifters	19 700	19 700				

Cash Receipts Journal – CRJ

Doc	Day	Details	AOR	Bank	Sales	Cost of sales	Debtors control	Sundry amount	Details
CRR	18	Cash sales	15 000	15 000	15 000	9 375			
BS / EFT	26	F. Rossouw		19 300			19 300		

AOR (analysis of receipts) lists money we deposit ourselves (cash sales, receipts). An EFT from a debtor goes straight into the bank and is shown on the **bank statement**, so it goes only in the Bank column. (Follow your teacher if they want it in AOR too.)

Debtors Journal – DJ

Doc	Day	Name of debtor	Sales	Cost of sales
55	07	F. Rossouw	8 000	5 000

Debtors Allowances Journal – DAJ

Doc	Day	Name of debtor	Debtors allowances	Cost of sales
CN 18	12	F. Rossouw	4 000	2 500

Checking what you already wrote:

- **CJ, 1st:** doc 32, day 01, Dead drifters, R5 500 in Creditors control ✓ – you still need **R5 500 in Trading stock** too (fishing equipment bought to sell = trading stock).
- **DJ, 7th:** doc 55, F. Rossouw, Sales R8 000 ✓ – **Cost of sales = R5 000** (8 000 × 100 ÷ 160).

Question 2 – Account Debited and Account Credited [20]

Nr	Account debited	Account credited	Journal	Amount
1	Creditors control	Bank	CPJ	990
2	Creditors control	Trading stock	CAJ	560
3	Bank	Debtors control	CRJ	788
4	Packing material	Creditors control	CJ	2 850
5	Debtors control	Sales	DJ	14 000
	Cost of sales	Trading stock		5 600
6	Debtors allowances	Debtors control	DAJ	1 320
	Trading stock	Cost of sales		880
7	Bank	Debtors control	CRJ	436

Workings and reasons

Nr	Why
1	We owe the creditor less (liability ↓ = debit Creditors control); money leaves the bank (asset ↓ = credit Bank). Payment → CPJ.
2	We owe less (debit Creditors control); stock goes out (credit Trading stock). Debit note → CAJ.
3, 7	Money comes in (debit Bank); the debtor owes less (credit Debtors control). Receipt → CRJ.
4	Packing material is an **expense** (DAE → debit); we owe more (credit Creditors control). Bought on credit → CJ.
5	Cost price = 14 000 × 100 ÷ (100 + 150) = 14 000 × 100 ÷ 250 = **R5 600**. Two entries: the sale (selling price) and the stock that left (cost price).
6	Cost price = 1 320 × 100 ÷ 150 = **R880**. A return is the **reverse** of a sale: debtors allowances up, debtor owes less; stock comes back in, cost of sales goes down.

Question 3 – Assets, Owner's Equity and Liabilities [25]

Nr	Assets		Owner's equity		Liabilities	
	Effect	Reason	Effect	Reason	Effect	Reason
1	+6 600 −4 400	Debtors control increases; trading stock decreases	+6 600 −4 400	Sales (income) increases; cost of sales (expense) increases	0	No effect
2	−377 +290	Debtors control decreases; trading stock increases	−377 +290	Debtors allowances (expense) increases; cost of sales decreases	0	No effect
3	+8 400	Trading stock increases	0	No effect	+8 400	Creditors control increases
4	0	No effect	+467	Stationery (expense) decreases	−467	Creditors control decreases

Workings

1. Cost = 6 600 × 100 ÷ 150 = **R4 400**. Net effect: A +2 200 and OE +2 200 (that is the profit on the sale).
2. Cost = 377 × 100 ÷ 130 = **R290**. Net effect: A −87 and OE −87.
3. Stock bought on credit: one asset up, one liability up. No income or expense, so OE doesn't change.
4. Returning stationery means the **expense** becomes smaller → OE goes **up**; we owe the creditor less → L goes **down**.

Check every row: A = OE + L must still balance. Row 1: +2 200 = +2 200 + 0 ✓ · Row 2: −87 = −87 + 0 ✓ · Row 3: +8 400 = 0 + 8 400 ✓ · Row 4: 0 = +467 − 467 ✓

Some teachers want the net amount (e.g. +2 200) in one line; others want both lines as above. Both show the same thing – write it the way your teacher marks it.

Question 4 – The Three Sectors [15]

Sector	Definition	Three activities (explained)
Primary sector	Takes **raw materials / natural resources** directly from nature.	1. **Farming** – growing crops (wheat, fruit) and raising animals for food. 2. **Mining** – digging minerals such as gold, coal and platinum out of the ground. 3. **Fishing** – catching fish from the sea or rivers.
Secondary sector	**Manufactures** – changes raw materials into finished or semi-finished **products**.	1. **Manufacturing** – factories turn raw materials into products (e.g. cars, clothing). 2. **Food processing** – mills turn wheat into flour; bakeries bake bread. 3. **Construction** – building houses, roads and bridges.
Tertiary sector	Provides **services** and gets products to consumers (trade).	1. **Retail / trade** – shops sell products to consumers. 2. **Transport** – moving goods and people by truck, train or plane. 3. **Banking / financial services** – keeping money safe and giving loans. (Also: tourism, insurance, education, health care.)

Marks: name (1) + definition (1) + three activities (3) for each sector = 5 × 3 = 15.